the Communist Party and other left-wing organizations, the conference elected the Central Governing Council with Mao as its Chairman.

The establishment of the People's Republic of China under the leadership of Mao Tse Tung was a world-shaking event. There were now two mighty Communist powers in the world —the Soviet Union and People's Republic of China.

### Denial of UNO Membership

The United-States refused to recognize the People's Republic of China for more than two decades.

## 4.2 Cold War: Rivalry between the US and the Soviet Union

### 1. Truman's Policy of Containment of Communism

Truman

In 1948 the Soviets had established socialist governments in the countries of eastern Europe that had been liberated from the Nazis by the Soviet Army. Truman, the president of USA, pursued a policy of containment of communism. The Soviets were however determined not only to maintain control of eastern Europe, but also keen on spreading Communism world-wide.

**Cold War:** The rivalry that developed after World War II between the US and the USSR and their respective allies created tension which is referred to as Cold War. They did not take recourse to weapons. Instead they waged war on political, economic and ideological fronts.

### 2. Marshall Plan

The US conceived the Marshall Plan to bring the countries in western Europe under its influence. The plan sought to help the countries of Europe with American dollars to facilitate their early recovery from the destruction caused by the Second World War.

Marshall

The United States was much concerned that poverty, unemployment, and dislocation caused by the post-World War II period were increasing the appeal of communist parties in western Europe. The Secretary of State, George C. Marshall, advanced the idea of a European self-help programme to be financed by the United States. Sixteen nations, became part of this programme. Administrative and technical assistance was offered through the Economic Cooperation Administration (ECA) of the United States. Marshall Plan funding ended in 1951.

## 4.3 Formation of Military Alliances

### (a) NATO

The United States and its European allies formed the North Atlantic Treaty Organization (NATO) to resist Soviet aggression in Europe (1949). It was an inter-state military alliance between the countries of North America and Europe. The major member countries included Canada, Belgium, Denmark, France, Iceland, Italy, Luxemburg, the Netherlands, Norway, Portugal and the United Kingdom. Later Greece and Turkey joined the organization (1952). Germany joined the NATO in 1955. The chief objective of NATO was the peace and security in the North Atlantic region.

### (b) SEATO or Manila Pact (1954)

The Southeast Asia Treaty Organization (SEATO) was organized for the collective security of countries in Southeast Asia. Following the signing of the Manila Pact (1954) by the US, France, England, New Zealand, Australia, the Philippines, Thailand and Pakistan. Member countries of SEATO were committed to prevent



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